AIRBUS SE

Company & Business Overview

What the company does, how it makes money, and why it is the focus of this research

Equity Research | Aerospace & Defence | AIR.PA

FOUNDED	HEADQUARTERS	INDUSTRY	EMPLOYEES (FY25)	REVENUE (FY25)
1970	Toulouse, France	Aerospace & Defence	165,294	€73,420m

WHAT DOES AIRBUS DO?

Airbus designs, builds and sells aircraft. In plain terms, airlines and governments place orders years in advance, Airbus manufactures the aircraft at its plants (mainly in France, Germany and Spain) and delivers them over time — similar to a very long production queue. The group operates through three businesses: Commercial Aircraft (the well-known A220/A320/A330/A350 passenger jets, and the largest of the three by far), Helicopters (civil and military helicopters), and Defence & Space (military aircraft, satellites and space systems). Once an aircraft is delivered, Airbus continues to earn money for years from maintenance, spare parts and support services.

HOW DOES IT MAKE MONEY?

- Aircraft deliveries are the main driver — revenue is recognised mostly when a finished aircraft is handed over to the airline.
- A backlog of 8,754 aircraft already on order gives multi-year visibility into future deliveries and revenue.
- Recurring aftermarket revenue from maintenance, spare parts and support adds steady income after each delivery.
- Defence & Space runs on long-term government contracts, which are more stable and less tied to the economic cycle.

WHAT DRIVES ITS COSTS?

- Raw materials and bought-in parts — titanium, aluminium, engines and electronics from suppliers.
- Skilled manufacturing labour and R&D spend needed to design and keep improving each aircraft programme.
- Supply chain and factory overheads, which have been under pressure industry-wide since 2022.

FY2025 REVENUE BY SEGMENT



WHY AIRBUS?

- Global leadership: one of only two companies in the world that build large passenger jets at scale, alongside Boeing.
- Large, diversified order book across commercial aircraft, helicopters and defence — reduces reliance on any one market.
- Improving profitability: EBIT margin rose from 7.0% to 8.3% over FY2023–FY2025 as deliveries recovered.
- Today's 8,754-aircraft backlog is roughly 11 years of deliveries at the current annual rate (~793) — and still only a fraction of the ~42,060 aircraft the industry will need through 2045.

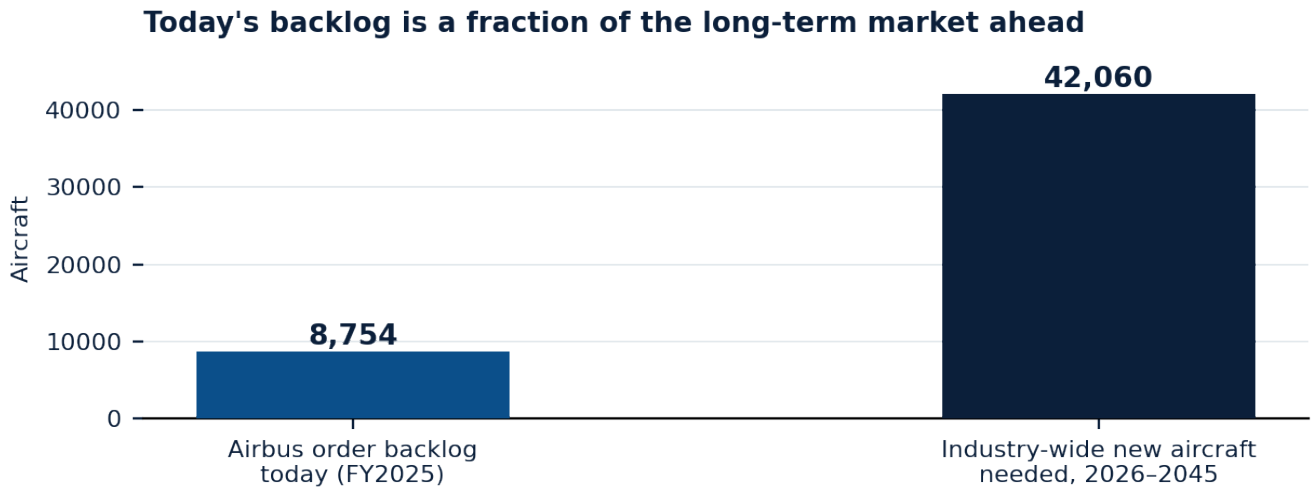
STRATEGIC PRIORITIES

- Ramp up production of the A320, A220 and A350 families to work through the backlog and meet strong demand.
- Stabilise the supply chain and strengthen supplier performance to reduce delivery delays.
- Expand Defence & Space activity and invest in sustainability and next-generation aircraft technology.

INDUSTRY	LONG-TERM DEMAND (2026–45)	KEY DEMAND DRIVERS	KEY CONSTRAINT
Aerospace & Defence	**~42,060 new aircraft**	**Air traffic, fleet renewal, defence spending**	**Supply chain, skilled labour, inflation**

Industry growth is supported by rising air travel, airlines replacing older aircraft with more fuel-efficient ones, and steady defence spending — while supply constraints remain the main brake on growth.

TODAY'S BACKLOG vs. THE LONG-TERM MARKET



GROWTH DRIVERS

- Air traffic growth drives long-term demand for new aircraft.
- Airlines are renewing older, less fuel-efficient fleets.
- Defence spending and long-term services contracts add steady demand.

KEY INDUSTRY RISKS

- Supply chain and engine shortages can delay deliveries.
- Airline demand is cyclical and tied to the broader economy.
- Inflation, execution issues, FX and geopolitical risk can pressure margins.

WHO ARE AIRBUS'S KEY COMPETITORS?

Company	What it does	How it compares to Airbus
Boeing	US rival building large passenger jets (737, 787, 777).	Airbus's only true peer in large commercial aircraft; direct head-to-head competitor.
RTX (Raytheon)	Aircraft engines, avionics and defence systems.	Overlaps mainly in defence & space; also a key engine supplier to the industry.
Lockheed Martin	Global defence & aerospace, military aircraft.	Competes with Airbus's Defence & Space arm, not in commercial jets.
General Dynamics	Defence systems, business jets, IT services.	Smaller overlap; mainly a defence and business-aviation peer.

Sources: Airbus Annual Reports 2023–2025, Airbus Global Market Forecast 2026–2045, Deloitte Aerospace & Defence Outlook 2026.

AIRBUS SE

AIR.PA | Euronext Paris | Aerospace & Defence

Equity Research — Full DCF, Comparable Company Analysis & Football Field Valuation

HOLD

Slightly Overvalued

Valuation Date: 31-Dec-2025 | Currency: EUR | Figures per share unless noted

CURRENT PRICE	DCF IMPLIED VALUE	IMPLIED UPSIDE/(DOWNSIDE)	FOOTBALL FIELD RANGE	WACC / TERMINAL g
€198.40	€189.45	(4.5%)	€136.6 – €359.0	7.30% / 3.00%

INVESTMENT THESIS

Base-case DCF implies €189.45 per share versus a current market price of €198.40, indicating 4.5% downside. A strong commercial aircraft backlog (8,754 units), disciplined margin expansion (EBIT margin 7.0% → 9.0%, FY23A–FY30F) and steady delivery ramp-up (735 → 793 aircraft, FY23A–FY25A) support the long-term growth case, but current upside is insufficient for a BUY and downside is not severe enough for a SELL — HOLD is the most balanced recommendation.

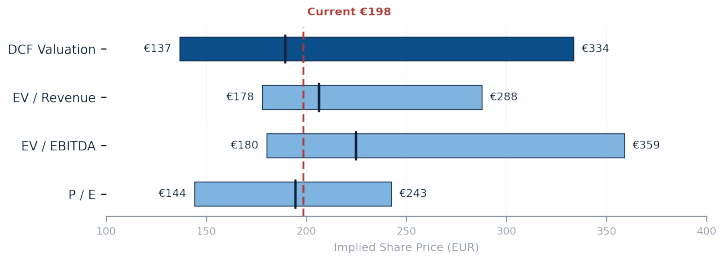
KEY SUPPORTIVE FACTORS

- Strong commercial aircraft backlog supports revenue visibility and long-term demand.
- Improving margins and continued delivery growth support medium-term cash flow expansion.
- Order backlog reached 8,754 aircraft in FY2025 (+1.1% YoY), underpinning multi-year production visibility.

KEY RISKS

- Supply chain bottlenecks and ramp-up delays may pressure deliveries and margins.
- Defence programme execution, inflation, and FX volatility remain key downside risks.
- Value is sensitive to WACC and g (terminal value 84% of EV).

FOOTBALL FIELD VALUATION (€ / share)



COMPANY SNAPSHOT (FY2025A)

REVENUE	EBIT MARGIN	DELIVERIES	BACKLOG (A/C)	EMPLOYEES	EPS
€73.4bn	8.3%	793	8,754	165,294	€6.61
+6.1% YoY	+0.6pp YoY	+3.5% YoY	+1.1% YoY	+5.3% YoY	+23.3% YoY

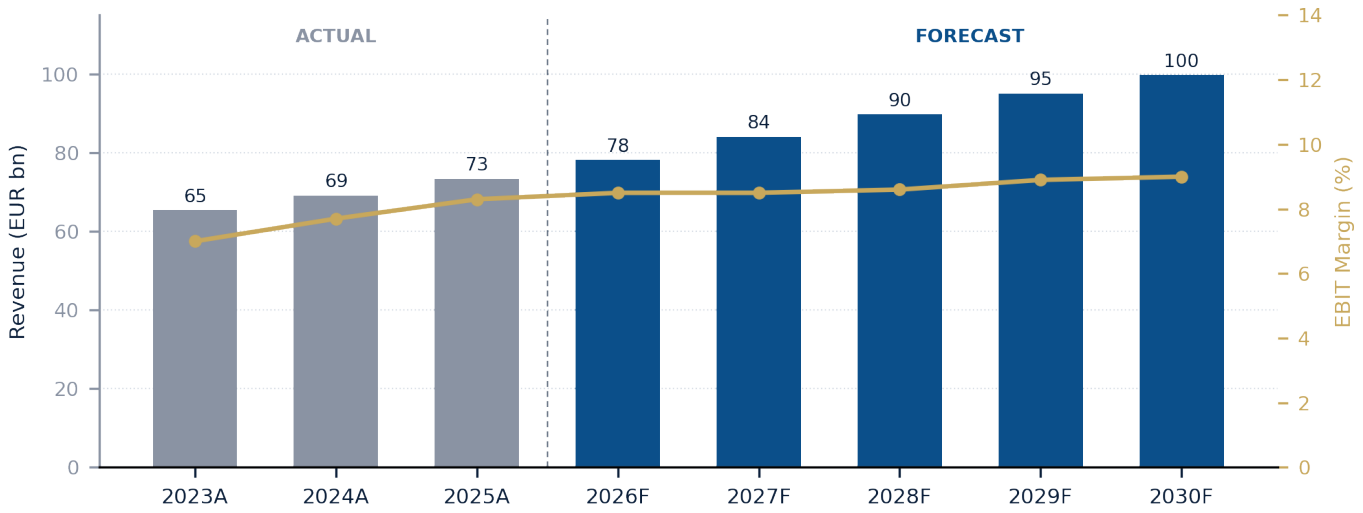
REVENUE MIX BY SEGMENT (FY2025A)

Commercial Aircraft	€52,577m	(70.1%)
Defence & Space	€13,405m	(17.9%)
Helicopters	€8,972m	(12.0%)

WACC BUILD & CAPITAL STRUCTURE

Cost of Equity (Re)	7.59%
Cost of Debt, after-tax	4.11%
Equity Weight	91.6%
Debt Weight	8.4%
WACC	**7.30%**

REVENUE GROWTH & EBIT MARGIN TRAJECTORY, FY2023A–FY2030F



INCOME STATEMENT SUMMARY (€ millions unless stated)

	2023A	2024A	2025A	2026F	2027F	2028F	2029F	2030F
Revenue	65,446	69,230	73,420	78,187	84,129	89,823	95,166	99,763
EBIT	4,603	5,304	6,082	6,632	7,156	7,762	8,459	9,027
EBIT Margin %	*7.0%*	*7.7%*	*8.3%*	*8.5%*	*8.5%*	*8.6%*	*8.9%*	*9.0%*
Net Profit	3,613	4,078	4,960	5,244	5,642	6,103	6,633	7,064
Net Margin %	*5.5%*	*5.9%*	*6.8%*	*6.7%*	*6.7%*	*6.8%*	*7.0%*	*7.1%*
EPS (€)	4.80	5.36	6.61	–	–	–	–	–

COMPARABLE COMPANY ANALYSIS

Company	Ticker	EV / Revenue	EV / EBITDA	P / E
Airbus	**AIR.PA**	**1.96x**	**15.6x**	**29.9x**
Boeing	BA	2.25x	32.3x	90.1x*
RTX	RTX	3.14x	20.4x	36.6x
Lockheed Martin	LMT	1.71x	13.6x	22.1x
General Dynamics	GD	1.84x	15.4x	21.6x
Peer Median		**2.05x**	**17.9x**	**29.3x**

**P/E median and range exclude Boeing as an earnings outlier. Share price and peer multiples: market data as of 31-Dec-2025 (Euronext Paris close for Airbus).*

MODEL INTEGRITY CHECK

✓ DCF value (€189.45) reconciles to the sensitivity table base case and the football field; historicals tie to Airbus annual reports.

METHODOLOGY

- 5-year explicit FCFF forecast (FY2026F–FY2030F) with a Gordon growth terminal value; WACC of 7.3% (Re 7.6%, Rd(AT) 4.1%) and terminal growth rate of 3.0%.
- Comparable Company Analysis benchmarked against Boeing, RTX, Lockheed Martin and General Dynamics — the peer group used in the underlying comps model.
- Historical data (FY2023A–FY2025A) verified against Airbus SE annual reports; forecasts driven by segment revenue, costs, working capital and capex.
- Terminal value represents 84% of enterprise value — typical for a mature industrial DCF, but it means the valuation is highly sensitive to the WACC and terminal growth assumptions (see football field range on page 3).